

## PSBV109NAMB – International Corporate Finance

### Finance Master program Fall Semester, Academic Year Q1 2024/2025

|                                     |                                                                                                                                                                                                                                                                          |
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| <b>Course leader:</b>               | VÁRADI Kata, PhD                                                                                                                                                                                                                                                         |
| <b>Department:</b>                  | Department of Corporate Finance, Institute of Finance                                                                                                                                                                                                                    |
| <b>Lecturers</b>                    | HADHÁZYNÉ BURUCS Judit, LAKATOS László Péter,<br>Leyla YUSIFZADA, Noémie CABAU                                                                                                                                                                                           |
| <b>Office hours:</b>                | TBA                                                                                                                                                                                                                                                                      |
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| <b>Course type:</b>                 | Compulsory, Master                                                                                                                                                                                                                                                       |
| <b>Credits:</b>                     | 6                                                                                                                                                                                                                                                                        |
| <b>Number of hours per semester</b> | Lectures: 12 hours<br>Seminars: 36 hours                                                                                                                                                                                                                                 |
| <b>Time of lecture:</b>             | Tuesday 8:00-9:30 C102                                                                                                                                                                                                                                                   |
| <b>Seminars:</b>                    | <b>G1 group</b><br>Tuesday 9:50-11:20 C314 & Thursday 8:00-9:30 C315; 9:50-11:20 C315<br><br><b>G2 group</b><br>Tuesday 11:40-13:10 C314 & Thursday 11:40-13:10 C315; 13:40-15:10 C315                                                                                   |

#### **Aims and objectives and description of the course:**

During the course we put a great emphasis on discussing practical corporate finance issues and case studies. The main topics will be: capital budgeting and financing decisions; short-term and long-term financial planning; financial analysis; cost of capital; basics of valuation and M&A transactions.

#### **Course description**

This course will give the basis of the following courses during the Finance Masters program: Applied Business Valuation, Cases in Corporate Finance, Corporate Planning and Reporting. We will cover topics, that enable student to understand easier the complex financial notions, relations, that appear in the courses mentioned above.

#### **Assignments:**

1. Some of the seminars will begin with a **short quiz** on the materials covered the previous weeks and on the *compulsory readings in Berk-DeMarzo and/or Madura-Fox textbook*. These short quizzes will provide students an immediate feedback on their knowledge and understanding of the most important topics of the course. Students can collect maximum 30 points. Every test will include 1-1 theoretical question or calculation from previous week's chapters, and 1 excel exercise. All exercises will worth 2 points.

Students can work in pairs, and it will be open book. Altogether there will be 5 short quizzes.

2. Students can collect another 10 points with **classroom work**: classroom activity, solving exercise on class, etc.
3. Students can give **short presentations** in pairs for 5 points.
4. There will be a **midterm exam** on Week 4 during the lecture (1<sup>st</sup> October, 2024, 8:00-9:30). The exam will cover the chapters of the first 3 weeks. It will worth 25 points.
5. The **final exam** will cover the topics of week 4-7. It will worth 30 points. G1 group will write it on 24<sup>th</sup> October 2024, 8:00-930, G2 group will write it on 24<sup>th</sup> October 2024, 11:40-13:10.

### **Points:**

- 30% short quiz
- 10% classroom work
- 5% presentation
- 25% midterm exam
- 30% final exam

### **Detailed class schedule, 1<sup>st</sup> – 7<sup>th</sup> week:** (1 lecture + 3 seminars per week)

| <b><u>Week</u></b> | <b><u>Topics to be discussed</u></b>                                                                                                                                                      | <b><u>Berk-DeMarzo textbook</u></b><br>(based on 6 <sup>th</sup> edition) |
|--------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------|
| week 1             | Introduction + Financial statement analysis, Law of one price (10 <sup>th</sup> September)<br><br>International Corporate Finance (12 <sup>th</sup> September)                            | Ch 2, 3<br><br>Ch 31 & Madura-Fox<br>Ch 6,7,8                             |
| week 2             | Portfolio optimization, CAPM, cost of capital (17 <sup>th</sup> September)<br><br>Capital Structure I (Modigliani-Miller theorems, effect of debt and taxes) (19 <sup>th</sup> September) | Ch 10, 11, 12<br><br>Ch 14, 15                                            |
| week 3             | Capital Structure II (trade-off theory, bankruptcy) (24 <sup>th</sup> September)<br><br>Payout policy + consultation (26 <sup>th</sup> September)                                         | Ch 16<br><br>Ch 17                                                        |
| week 4             | <b>Midterm exam</b> + Capital budgeting (1 <sup>st</sup> October)<br><br>Case study: Building up a cash flow (3 <sup>rd</sup> October)                                                    | <br><br>Case study – Ch 18, 19                                            |
| week 5             | Short term financing (8 <sup>th</sup> October)<br><br>International Cash Management (10 <sup>th</sup> October)                                                                            | Ch 26, 27 & Madura-Fox<br>Ch 17, 18, 19                                   |
| week 6             | Consolidated financial statements (15 <sup>th</sup> October)<br><br>M&A transactions – accounting (17 <sup>th</sup> October)                                                              |                                                                           |
| week 7             | Consultation + guest lecturer presentation (22 <sup>nd</sup> October)<br><br><b>Final exam</b> + presentations (24 <sup>th</sup> October)                                                 |                                                                           |

**Class participation:** Not to be confused with attendance, class participation is the practice of engaging your professor and fellow students during presentations and discussions with thoughtful and timely contributions. If you miss classes, it will have an impact on your participation points.

### **Plagiarism**

Any and all statements contained in any assignment or paper that are based upon ideas or words of another must be properly credited to the original author or source. Paraphrasing the ideas or words of another is acceptable so long as the original author or source is cited. DO NOT quote words or expressions from existing works verbatim without designating the passage as a quote and crediting the source. Any student who plagiarizes the work of any other person (author, professor, student, parent, friend, etc.) is committing academic dishonesty and misconduct. Any student caught committing plagiarism will automatically fail the course.

### **Compulsory reading**

- Jonathan Berk & Peter DeMarzo: *Corporate Finance*, Pearson, 6<sup>th</sup> Edition
- Jeff Madura, Roland Fox: *International Financial Management*, Cengage Learning
- Juhász, P., Száz, J., Váradi, K. & Vidovics-Dancs: *Financial Modeling I.*, Budapest 2024.

**Grade Conversion Table for Programs and Courses taught in English**

| <i>Percentage achieved</i> | <i>Hungarian Grade</i> | <i>ECTS Grade</i> | <i>International Grade</i> | <i>Explanation</i>                 |
|----------------------------|------------------------|-------------------|----------------------------|------------------------------------|
| 97-100                     | <b>5</b>               | <b>A</b>          | <b>A+</b>                  | <b>Excellent</b>                   |
| 94-96                      | <b>5</b>               | <b>A</b>          | <b>A</b>                   | <b>Excellent</b>                   |
| 90-93                      | <b>5</b>               | <b>A</b>          | <b>A-</b>                  | <b>Excellent</b>                   |
| 87-89                      | <b>5</b>               | <b>B</b>          | <b>B+</b>                  | <b>Excellent/Very good</b>         |
| 84-86                      | <b>4</b>               | <b>C</b>          | <b>B</b>                   | <b>Good</b>                        |
| 80-83                      | <b>4</b>               | <b>C</b>          | <b>B-</b>                  | <b>Good</b>                        |
| 77-79                      | <b>4</b>               | <b>C</b>          | <b>C+</b>                  | <b>Good</b>                        |
| 75-76                      | <b>4</b>               | <b>D</b>          | <b>C</b>                   | <b>Satisfactory</b>                |
| 70-74                      | <b>3</b>               | <b>D</b>          | <b>C-</b>                  | <b>Satisfactory</b>                |
| 67-69                      | <b>3</b>               | <b>D</b>          | <b>D+</b>                  | <b>Satisfactory</b>                |
| 63-66                      | <b>3</b>               | <b>D</b>          | <b>D</b>                   | <b>Low pass/Sufficient</b>         |
| 51-62                      | <b>2</b>               | <b>E</b>          | <b>D-</b>                  | <b>Low pass/Sufficient</b>         |
| 0-50                       | <b>1</b>               | <b>FX/F</b>       | <b>F</b>                   | <b>Fail, 0 credit</b>              |
|                            | <b>N</b>               |                   | <b>N</b>                   | <b>No grade received, 0 credit</b> |